

dead wrong. They are improperly investing their human capital and financial capital in the same economic basket, and their retirement might be at risk. Indeed, the evidence suggests that we have a long way to go before individuals truly consider the risk and return characteristics of their human capital and invest their financial capital in a way that balances their comprehensive risks. Hopefully, this book will help along this path. Remember, your 401(k) is a number, not a pension. It is up to you to manage and grow your nest egg so that it can eventually be converted and allocated into a pension.

And so, in this concluding chapter, I try to bring the previous chapters together by reviewing the main highlights and then explaining how to formulate a proper retirement plan given all the tools we have acquired along the way.

Retirement Income Planning Is the Goal

At the university where I am a faculty member, I teach a popular 12-week course on personal financial planning to third- and fourth-year undergraduate students. During the semester, I try to cover the entire life cycle of financial issues, from cradle to grave. In the first few weeks, I spend quite a bit of class time on basic topics such as financial budgeting, managing credit card debt, coping with student loans, and so on. I usually get full attendance and engaged interest during these early lectures. In fact, sometimes I get even more than full attendance from nonregistered, yet interested students, who want to learn whether leasing is in fact better than buying a car, or whether ETFs are better or worse than index funds for the cost-conscious do-it-yourself investor. They are surprised when I preach that debt can be good, as I explained in Chapter 4, “Debt Can Be Good at All Ages.” They absolutely resonate with my message that human capital is valuable and should be treated as an asset class to be hedged and insured. In fact, even the topic of life insurance, which I mentioned back in Chapter 2, “Insurance Is a Hedge for Human Capital,” appears interesting to them, perhaps due to some morbid curiosity.

Then, somewhere toward the latter part of the semester, as things are winding down around week number eight or nine, I get to the topic of pensions and retirement income planning. Here I tell them